

Examples: The Fisk Rubber Company sold \$10,000,000 of five-year 5¹/₂s in 1926. In 1929 they sold at 96 because of their near maturity, although the company's earnings exhibit was unsatisfactory. But payment of principal was defaulted at maturity in 1931; the company went into receivership; and the price of the notes fell to 10³/₄ in that year.

In 1929 the New York, Chicago and St. Louis Railway (Nickel Plate) sold \$20,000,000 of three-year 6% notes. They have been repeatedly extended but only with great difficulty and upon threat of insolvency if the holders refused to extend. (In 1936 they sold as low as 26³/₄.)

A recent example of apparently unwarranted partiality accorded by the bond market to an issue of near maturity is supplied by Pennsylvania-Dixie Cement Company First 6s, due September 1941, which in early 1939 sold above par. This issue had barely covered interest charges (on a reduced depreciation basis) in 1937 and 1938, and had reported deficits in the six preceding years. Net current assets were less than the outstanding bonds. It was possible, of course, that conditions in 1941 might permit the repayment of this security; but those who bought it at a full price in 1939 were undoubtedly taking an unnecessary risk of severe shrinkage of principal value.

Distinctions between Short and Long Maturities of the Same Issue. There have been quite a number of cases in which investors have been willing to pay much higher prices for a short-term issue than for an equally secured long-term issue of the same company. In nearly every case this has proved a mistake—because either (1) the company's credit improved, in which case the distant maturity had a much greater rise in price, or else (2) the company was unable to pay off the short term issue at maturity.

Examples of (1):

Low Price 1932

Lehigh Valley Coal Company First Refunding 5s, due 1934	96 ¹ / ₂
Lehigh Valley Coal Company First Refunding 5s, due 1944	35

The company was able to pay off the 1934 issue at maturity, but in the meantime the 5s of 1944 had advanced to 91. See also example under (2) below.